**Contributors:** @Kateryna Haskova @Iuliana Stepiuk

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# DEFINITION

The purpose of the **Assumption and Dependencies Control Process** in a fixed-fee (fixed-price) project is to systematically identify, validate, manage, and communicate the assumptions and dependencies that underlie the project's scope, schedule, and budget. This process aims to ensure the project is built on a realistic foundation, minimizing uncertainties and potential disruptions that could impact the project's successful completion within the fixed-fee constraints.

**Key Objectives:**

1. **Clarity and Alignment:** The process ensures that all stakeholders clearly and consistently understand the assumptions made about the project's scope, requirements, and constraints. It aligns project teams, clients, and other stakeholders on expectations.
2. **Risk Reduction:** By validating assumptions and addressing dependencies, the process helps identify potential risks early, reducing the likelihood of unforeseen challenges that could disrupt the project's progress.
3. **Scope Control:** Effective assumptions management helps prevent scope creep, where unvalidated assumptions lead to unplanned changes in project scope, potentially affecting the project's budget and timeline.
4. **Resource Allocation:** By addressing dependencies, the process ensures that necessary resources (both internal and external) are secured on time, reducing the risk of resource shortages and potential delays.
5. **Communication:** The process fosters transparent communication by identifying and addressing potential misalignments or stakeholder misunderstandings regarding project assumptions and dependencies.
6. **Change Management:** Effective management of assumptions and dependencies supports evaluating and approving any scope changes that may arise during project execution, ensuring that changes are made consciously and within the fixed-fee framework.

**Critical Steps in the Assumption and Dependencies Control Process:**

1. **Assumption Identification:** Identify all assumptions about the project's scope, requirements, resources, technology, and external factors.
2. **Assumption Validation:** Review and validate each assumption with relevant stakeholders to ensure accuracy and feasibility.
3. **Dependency Identification:** Identify external or internal dependencies impacting project progress and successful completion.
4. **Dependency Management:** Develop plans to manage and secure the required resources, approvals, or inputs from dependent parties.
5. **Documentation:** Document validated assumptions and dependencies in a central repository for reference and future communication.
6. **Regular Review:** Continuously monitor and update assumptions and dependencies throughout the project lifecycle, especially when changes occur.
7. **Communication Plan:** Establish a clear communication plan to inform stakeholders about validated assumptions and dependencies, promoting transparency and understanding.
8. **Change Management Integration:** Link the management of assumptions and dependencies with the project's change control process to ensure that any changes are aligned with the fixed-fee model.

By implementing an Assumption and Dependencies Control Process, a fixed-fee project can minimize uncertainties, enhance project predictability, and facilitate smoother project execution by ensuring all parties have a shared understanding and plan for addressing potential risks and interdependencies.

# Assumption Workflow

Assumptions are factors accepted as true, real, or certain for planning but may still carry uncertainty. Effectively managing assumptions helps ensure the project is based on a realistic foundation and minimizes potential risks and uncertainties. Here's a step-by-step description of the Assumption Workflow:

**Step 1: Assumption Identification**

- **Identify Assumptions:** Gather input from project stakeholders, team members, and subject matter experts to identify all assumptions made about the project. These could relate to scope, requirements, resources, technology, external factors, or any other aspect of the project.

**Step 2: Assumption Documentation**

- **Assumption List:** Create a comprehensive list or register to document all identified assumptions. Include descriptions, rationale, and the potential impact on the project if the assumption is incorrect.

**Step 3: Assumption Validation**

- **Assumption Review:** Review and validate each assumption with relevant stakeholders. Ensure that assumptions are accurate, feasible, and aligned with project objectives.
- **Expert Input:** Seek input from subject matter experts or other relevant parties to verify the validity of critical assumptions.

**Step 4: Assumption Management**

- **Assumption Ranking:** Prioritize assumptions based on their potential impact on the project's success. Focus on high-priority assumptions that could significantly affect scope, schedule, budget, or quality.
- **Risk Analysis:** Analyze potential risks associated with each assumption. Identify risks that could arise if the assumption turns out to be incorrect.

**Step 5: Assumption Mitigation**

- **Mitigation Strategies:** Develop contingency plans or alternative approaches to address potential risks from critical assumptions. Outline specific actions to take if assumptions are invalidated.
- **Scenario Planning:** Consider different scenarios based on varying assumptions. Develop plans to adjust the project strategy if certain assumptions do not hold.

**Step 6: Assumption Communication**

- **Stakeholder Communication:** Communicate validated assumptions to all project stakeholders. Ensure that everyone is aware of the assumptions that form the basis of the project plan.
- **Regular Updates:** Provide regular updates on assumption validation and potential changes to stakeholders as the project progresses.

**Step 7: Assumption Review and Adjustment**

- **Periodic Review:** Regularly review and reassess assumptions throughout the project lifecycle. Validate assumptions again if new information becomes available.
- **Adjustment and Documentation:** If assumptions change or are validated, update the assumption list or register and associated project documentation accordingly.

**Step 8: Lessons Learned and Continuous Improvement**

- **Project Closure Review:** During project closure, review the effectiveness of assumption management efforts and their impact on project success.
- **Lessons Learned:** Document lessons learned from assumption management for future projects. Use insights to improve the assumption workflow in subsequent endeavours.

Effectively managing assumptions is critical for maintaining project stability and minimizing potential disruptions in fixed-fee projects. By following this workflow, project teams can enhance transparency, align expectations, and ensure the project plan is based on well-founded assumptions supporting successful project completion.

# Dependencies Control Workflow

The Dependencies Control Workflow is a structured process for identifying, assessing, managing, and monitoring dependencies within a project. Dependencies refer to the relationships and connections between tasks, activities, resources, or events that impact the project's progress and successful completion. Effectively managing dependencies is crucial to ensure the project stays on track, minimizes delays, and meets its objectives. Here's a step-by-step description of the Dependencies Control Workflow:

**Step 1: Dependency Identification**

- **Identify Dependencies:** Identify all internal and external dependencies that could affect the project. These could be task-to-task, resource, or external dependencies with other projects, vendors, or stakeholders.

**Step 2: Dependency Assessment**

- **Assess Impact:** Evaluate the impact of each dependency on the project's timeline, scope, budget, and quality. Ascertain whether a dependency holds crucial importance or is non-critical for the project's overall success.

**Step 3: Dependency Planning**

- **Dependency Mapping:** Create a visual map or matrix illustrating the dependencies among tasks, resources, or events. This helps stakeholders visualize and understand the interrelationships.
- **Resource Allocation:** Allocate the necessary resources to fulfil the dependencies. Ensure that required resources, such as personnel, equipment, or materials, are available when needed.
- **Risk Analysis:** Analyze potential risks associated with dependencies, such as delays or changes from dependent parties. Develop contingency plans to address these risks.

**Step 4: Dependency Management**

- **Dependency Ownership:** Assign clear ownership and accountability for managing each dependency. Designate individuals or teams responsible for coordinating and tracking progress.
- **Communication:** Establish communication channels to inform all relevant parties about dependency status, changes, and potential impacts.
- **Dependency Tracking:** Implement a system to track and monitor the progress of dependencies. Regularly update the status and ensure that dependencies are fulfilled according to the project schedule.

**Step 5: Dependency Execution**

- **Dependency Fulfillment:** Actively work to fulfil the identified dependencies. Coordinate with dependent parties, communicate expectations, and ensure timely delivery of required inputs.
- **Monitoring and Reporting:** Continuously monitor the status of dependencies. Provide regular status updates to stakeholders and project teams to keep them informed.

**Step 6: Dependency Closure**

- **Dependency Verification:** Validate that dependencies have been successfully fulfilled and integrated into the project. Ensure that the desired outcomes have been achieved.
- **Documentation:** Maintain comprehensive records of dependency management efforts, including any changes, challenges, and resolutions.

**Step 7: Lessons Learned and Continuous Improvement**

- **Review and Evaluation:** After project completion, review how well dependencies were managed and whether any improvements can be made.
- **Lessons Learned:** Document lessons learned from managing dependencies. Use these insights to enhance future projects and improve the dependency management process.

Effectively controlling dependencies is essential for ensuring project success, maintaining schedule adherence, and reducing the risk of bottlenecks or delays. This workflow allows project teams to optimize resource allocation, minimize uncertainties, and enhance stakeholder collaboration.

# 5 Common Assumptions and Dependencies with Fixed Fee (Fixed-Price) Specific

**Assumptions:**

1. **Stable Requirements:** An assumption might be that project requirements will remain stable throughout the project's duration. Any requirement changes could impact the project scope, potentially leading to additional costs and schedule delays.
2. **Resource Availability:** Assuming that required human and material resources will be available as planned. If key resources are unavailable or delayed, it could affect project progress and potentially increase costs.
3. **Client Availability and Engagement:** Assuming that the client will be actively engaged and available for timely feedback, approvals, and decisions. Delays in client interactions could lead to project slowdowns.
4. **Vendor Performance:** Assuming that external vendors or suppliers will deliver products or services as agreed upon. Vendor delays or quality issues could affect the project's timeline and budget.
5. **Technology Infrastructure:** Assuming that the technology infrastructure (hardware, software, networks) required for the project will be available and compatible. Technical challenges could lead to unexpected delays.

**Dependencies:**

1. **Regulatory Approvals:** Dependencies on regulatory approvals from external agencies or authorities. Delays in obtaining approvals could impact project timelines.
2. **Predecessor Tasks:** Dependencies on tasks must be completed before other tasks can start. Delays in predecessor tasks can cause ripple effects throughout the project schedule.
3. **Third-Party Integration:** Dependencies on third-party systems, applications, or services. Delays in third-party deliverables can affect project integration and completion.

4. **Internal Stakeholder Dependencies:** Dependencies on other internal teams or departments for information, resources, or collaboration. Delays in receiving input from these stakeholders can hinder project progress.
5. **External Market Factors:** Dependencies on external market conditions, such as demand fluctuations or economic changes. Market shifts could impact project feasibility or success.

It's important to note that these assumptions and dependencies should be carefully validated, managed, and communicated throughout the project. Failure to address them effectively could lead to risks, delays, and potential challenges impacting the project's fixed-fee constraints and overall success.

# Tools & Templates

If assumptions & dependencies are not presented within your project tracking tool, do not ignore its tracking.

At least, the spreadsheet should be created and available for all contributors in the project Wiki/document repository.

For useful PM Templates refer to the Library: Project Management Templates

# Hints

💡 Act as a Team - involve your Key Team members to contribution into continuous monitoring & control of Assumptions & Dependencies.

💡 Have a backup plan for your documentations. It is a usual case, when project related documentation is stored in Customer's systems only. Make sure, that in case the access to Customer's systems will go down (by any reason), the process would not be stopped.

💡 Dependencies tracking can help with risk identification. Make sure to integrate all these aspects in continuous monitoring & control process on the project level.